UNIVERSITY OF CALABAR
DEPARTMENT OF ECONOMIC
SECOND SEMESTER EXAMINATION
COURSE CODE: ECO 204 SEMESTER: 2nd
COURSE TITLE: MACROECONOMICS
TIME: 2hrs

INSTRUCTION: Answer Question One and Any Other Two Question

1. Given the following information:

$C = 130 + 0.35yd$

$Yd = Y - T$

$T = 100$

$I = 50 + 0.15y$

$G = 110$

$X = 120$

$M = 135$

Rent = 120 million; interest = 50 million; wages = 120 million and profit = 40 million

Determine

(i) Equilibrium national income using expenditure approach and income approach

(ii) The income multiplier

1b. State the challenges involved in national income computation

2a. Explain the concept of multiplier

b. Differentiate between the following pairs of concepts:

(i) Balance budget multiplier and automatic stabilizer

(ii) Relative income hypothesis and permanent income hypothesis

(iii) Foreign direct investment and portfolio investment

3a. Describe how random shocks have impacted the Nigerian economy in the past

b. Demonstrate how the supply side economics can be applied in solving the Nigerian economic crisis

c. Define business cycle and explain its phases during economic meltdown

4a. Assume that:

$C = 10 + 0.8yd$

Where yd = Disposable income

C = Consumption

At the level of incomes of January N 10; February N 20; March N 30; April N 40; May N 50. Calculate the levels of consumption by a student from January to May 2025.

b. Identify and explain the four theories or hypothesis of consumption

5. Give at least five (5) empirical examples of each form of investment

b. State and explain briefly the factors that can lead to higher levels of investment even though disposable income is unchanged.

c. Identify six determinants of investment. Which of them is the most important?